

Company Contract Playbook

Overview

This playbook defines the company's approved positions on key contract terms. Every incoming or outgoing agreement must be verified against these positions before signature. Items marked **MUST HAVE** are non-negotiable; items marked **MUST NOT HAVE** are absolute restrictions; **PREFERRED** items represent the company's standard ask but may be negotiated.

1. Liability Cap

Aggregate liability must be capped at the total fees paid under the agreement. No contract may expose the company to liability in excess of the fees actually received or paid under that specific agreement. This cap applies to all claims in aggregate, including breach of contract, tort, and statutory causes of action, whether or not the party has been advised of the possibility of such damages. The liability cap must appear in a clearly labelled Limitation of Liability section and must reference the specific contract value.

2. Uncapped Liability

The agreement must not accept unlimited or uncapped liability for either party. Clauses that expose either party to unbounded financial liability -- including indemnities without a financial ceiling, consequential-damage waivers that operate in only one direction, or representations with no cap -- are prohibited. Any clause that effectively eliminates the liability cap for a broad category of claims must be redlined and flagged for attorney review before execution.

3. Confidentiality

Confidentiality obligations should be mutual and survive termination. The preferred position is a mutual non-disclosure clause that binds both parties equally, with obligations surviving the expiry or termination of the agreement for a minimum period of three years. One-sided confidentiality clauses that bind only the company are acceptable only where the counterparty shares no confidential information. Any survival period of less than two years must be flagged for review. Confidential information should be defined broadly to include technical data, business plans, pricing, and customer information.

4. Payment Terms

Payment terms shall not exceed net-45 days from invoice date. All agreements must specify a payment period no longer than forty-five calendar days from the date of a valid invoice. Agreements that specify net-60, net-90, or longer terms require Finance department pre-approval and must be documented in the deal record. Late-payment interest at the statutory rate or 1.5 percent per month, whichever is higher, should be included. Milestone-based payment schedules are permitted provided each milestone payment is individually due within net-45 of the relevant milestone acceptance notice.